

DOCUMENTED BASIS FOR FINANCIAL INSTRUMENT DISCHARGE PROCESS

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INTRODUCTION

This document outlines the lawful, standardized, and accounting-supported basis for using properly endorsed financial instruments (e.g., billing statements, negotiable instruments) to discharge obligations in lieu of traditional currency. The process described herein leverages recognized principles from:

- **Statutory Accounting Principles (SSAP)**
- **Generally Accepted Accounting Principles (GAAP)**
- **Federal Reserve and Treasury policies**
- **Court rulings and historical legislative actions**

These standards are consistently used by financial institutions, insurance companies, and government entities for asset recognition and obligation discharge.

KEY FACTS & STANDARDS

1. Federal Reserve Notes (FRNs) Are Promissory Instruments, Not “Money”

- Lane v. Riley, 280 U.S. 219 (1930) – Affirms that only gold and silver constitute lawful money under the Constitution. FRNs are legal tender by statute but not substance-backed.
- Emergency Banking Act of 1933 & H.J. Res. 192 (48 Stat. 112) – Suspended the gold standard and allowed public debts to be discharged using paper instruments (FRNs or negotiable notes).

Implication: All modern currency functions as an IOU. Thus, obligations can be offset by other IOUs or negotiable equivalents.

2. Use of Endorsed Instruments to Discharge Debts

- UCC § 3-603(b): An obligation is discharged if the instrument offered is tendered and refused.
- UCC § 3-104 & § 3-306: Recognizes the negotiability and transfer of financial instruments, including bills of exchange.

Implication: A signed bill, invoice, or financial instrument—when returned as an endorsed premium—acts as lawful tender.

3. NAIC Statutory Accounting Principles (SSAP)

Recognized SSAPs supporting your position:

- SSAP No. 26R – Bonds
- SSAP No. 43R – Loan-backed and Structured Securities
- SSAP No. 2 – Cash, Cash Equivalents, Drafts, and Short-term Investments
- SSAP No. 97 – Investments in Subsidiary, Controlled and Affiliated Entities
- SSAP No. 101 – Income Taxes

Implication: These standards treat promises to pay (e.g., debt instruments) as assets with measurable value, used routinely by insurance companies and financial institutions.

4. GAAP Standards Recognizing Equivalent Forms of Value

Relevant GAAP Codifications (FASB/GASB):

- ASC 606 – Revenue Recognition: Recognizes contract-based receivables as real income.
- ASC 815 – Derivatives: Recognizes value in non-cash financial instruments.
- ASC 305-10-20 – Defines cash equivalents as short-term liquid investments that are near maturity and convertible into known cash value.

Implication: GAAP affirms the concept that not all transactions require “cash”—instruments of value suffice when consistent with contract performance.

5. Federal Government Standards (FASAB)

- SFFAS No. 5 – Accounting for Liabilities of the Federal Government: Affirms accounting for obligations through liabilities and offsetting instruments.
- SFFAS No. 56 – Codification of applicable standards for federal accounting, reinforcing recognition of non-cash obligations and settlements.

Implication: Federal entities use financial paper instruments to settle debts—consistent with the private strategy described here.

LEGAL FRAMEWORK & STRATEGY

When a public utility (e.g., Cal Water) sends a billing statement, it constitutes a presentment of a negotiable demand under UCC Article 3. Upon returning the instrument endorsed, you are:

1. Creating a setoff under the equal value rule.
2. Claiming discharge under H.J. Res. 192.
3. Tendering payment via equivalent negotiable promise per UCC § 3-603.
4. Securing collateral claim with UCC-1 Financing Statement (per UCC Article 9).

CONCLUSION

The process of using signed billing instruments to discharge obligations is not based on conspiracy or fringe theory—it is rooted in:

- Recognized accounting standards
- Legally sound commercial code
- Historical federal policy
- Ongoing practice within the insurance and financial industries

This document serves as a foundation for defending the use of non-cash instruments and establishing standing for further administrative or legal actions if a creditor (e.g., a utility company) refuses lawful discharge.

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